

Short CIRCUIT

Mayawati's experiment of raising funds through public-private partnership flops

By Subhash Mishra

She had a plan. Chief Minister Mayawati of fund-starved Uttar Pradesh believed that the key to attract investors lay in putting on sale everything from land, roads, transport and power to projects in health, education and tourism. A year down the line, the perilous finances of the state have proven that her strategy has gone terribly awry and exposed the failing credibility of the state Government.

As soon as Bahujan Samaj Party (BSP) took office in May 2007, Mayawati made it clear that public-private partnership (PPP) model was her new mantra. This was understandable as she realised that the Government could do little on its own to meet the developmental needs of the state and cope up with its financial debt of over Rs 1 lakh crore. In addition, it has to bear an annual burden of Rs 5,500 crore owing to the implementation of the recommendation of the Sixth Pay Commission for state employees and a widening gap between expenditure and income.

Finding it difficult to execute developmental work, the Government hoped that it could get an investment of over Rs 1.32 lakh crore in different sectors through the PPP model. The private sector had also responded enthusiastically with some of the country's biggest names—Reliance, Essar, DLF, GMR, to name just a few—lining up for lucrative deals. But its calculations seem to have grossly misfired. The reasons are interesting. On the one hand is the manner in which industrialists like the Ambanis have

been summarily shunted out of the state. While the Mukesh Ambani-headed Reliance Fresh was told to pack up and leave overnight, inquiries were ordered into Anil Ambani's Rs 7,000-crore gas-based power generation project at Dadri. But as critics see it, what has acted as a greater deterrent is the lack of transparency and the Government's functioning. Failing law and order, favouritism and charges of extortion at the hands of

BSP cadre, it is believed, have been discouraging investment in the state.

Mayawati's flip-flop in the power sector is being widely cited as an example of the bias that exists in Uttar Pradesh. Amid much hype in 2007, the BSP Government announced the setting up of two energy plants in Allahabad—one of 1,980 MW capacity at Bara and the other of 1,320 MW at Karchana—and promised to start work in less than a year.



SOME OF MAYAWATI'S MOST AMBITIOUS PROJECTS REMAIN FOUNDATION STONES

MANEESH AGNIHOTRI